renegotiated. It initially supported economic reforms, but then called Rao's budget a 'great fraud' on Parliament.[70]

The BJP's Economic Policy Statement of 1992, titled 'Humanistic Approach to Economic Development—A Swadeshi Alternative', was essentially a mixture of 'non-Nehruvian socialism and market-related theories with a touch of the old paranoia towards foreign investment'.[71] It reflected the party's wariness of unbridled capitalism. The BJP remained torn between the legacy of its older socialist economic ideas and the support for reforms among some of its prominent younger leaders. This tension was reflected in the 1992 policy statement, which declared that it drew inspiration from both Gandhi's ideal of Ram Rajya and Deendayal Upadhyaya's idea of integral humanism. Though 'Communism has collapsed', it began by saying, the 'resurrection of unbridled capitalism will not provide the key to the solution of our myriad problems. It will only lead to consumerism and increasing debt burden fettering generations to come.' For the BJP, it was essential that the 'spirit of Swadeshi and self-reliance cannot be lost'.[72] The preamble to the policy noted that 'SWARAJ and SWADESHI are indivisible'. It emphasised a middle path and the creation of what it called a new 'Indian Way'. 'India cannot be, and should not be a carbon copy of any other country,' it said. It 'must liberalise, industrialise and modernise—but it must do so the Indian Way … We have to evolve our own Model—a model that will be integral, humanist, holistic, reconciling our own needs with the experience outside.'[73] From this idea of economic nationalism flowed the party's approach to foreign capital, which carried the scepticism of its pre-1991 ideology. The BJP document argued that 'consumer goods will not be kept open for foreign investment[,] while existing multinationals in the consumer goods sector will have to dilute their control within five years, existing employees being given preference in the equity dilution'.[74]

This tension between economic nationalism and foreign capital continued to dog the Vajpayee government between 1999 and 2004. It was exemplified by the opposition to foreign capital, led by Dattopant Thengadi, one of the senior-most figures of the wider Sangh Parivar. This opposition was at the heart of the BJP's position